

EVG1002 - Priya Raman - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer	Priya Raman (XXX-XX-3318)
Address	1846 Wexford Ct, Apt 3B, Naperville, IL 60565
Filing status	Head of household (qualifying person: Arjun Raman, son)
Dependents	Arjun Raman (son, DOB 03/09/2018) - CTC, EIC qualifying child
Digital assets question	No
Forms included	1040; Sch 1, 3, 8812, EIC; Forms 8863, 8880; Form 8867 (preparer)
State	Illinois IL-1040 with Schedule M and Schedule IL-E/EIC
Filing method	PAPER-FILED 03/04/2026 after e-file reject IND-507-01 (02/20/2026)

Key figures	Amount
Total income (1040 line 9)	43,275
Adjusted gross income (line 11)	36,463
Deduction (line 12e) - Standard	23,625
QBI deduction (line 13a)	0
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	12,838
Total tax (line 24)	0
Total payments (line 33)	5,141
REFUND (line 35a)	5,141

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	36,140
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	36,140
2a	Tax-exempt interest	0
2b	Taxable interest	323
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	6,812
9	Total income	43,275
10	Adjustments to income from Schedule 1, line 26	6,812
11	Adjusted gross income	36,463
12e	Standard deduction or itemized deductions (Standard)	23,625
13a	Qualified business income deduction (Form 8995/8995-A)	0
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	23,625
15	Taxable income	12,838
16	Tax	1,283
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	1,283
19	Child tax credit / credit for other dependents (Schedule 8812)	405
20	Amount from Schedule 3, line 8	878
21	Add lines 19 and 20	1,283
22	Subtract line 21 from line 18	0
23	Other taxes, including self-employment tax, from Schedule 2, line 21	0
24	Total tax	0
25a	Federal income tax withheld - Form(s) W-2	1,210
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	1,210
26	2025 estimated tax payments and amount applied from 2024 return	0
27a	Earned income credit (EIC)	2,231

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	1,700
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	0
32	Total other payments and refundable credits	3,931
33	Total payments	5,141
34	Amount overpaid	5,141
35a	Refund	5,141
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	U.S. Treasury - TreasuryDirect (box 3, U.S. obligations)	310
1.2	Alliant Credit Union	12
2	Total interest	323
4	Taxable interest (to Form 1040, line 2b)	323
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule 1

Line	Description	Amount
8z	Form 1099-K personal items sold at a loss (PayPal)	6,812
9	Total other income	6,812
10	Additional income (to Form 1040, line 8)	6,812
24z	Form 1099-K personal items sold at a loss (PayPal)	6,812
26	Total adjustments to income (to Form 1040, line 10)	6,812

Form 8863

Line	Description	Amount
Priya Raman (College Tuition)	College tuition expenses 2,388	
phase	MAGI phase-out fraction applied	1
8	Refundable American opportunity credit	0
19	Nonrefundable education credits	478

Form 8880

Line	Description	Amount
1-6	Elective deferrals (W-2 box 12 code D) 2,496; eligible (max 2,000)	2,000
9	Credit rate for AGI 36,463 (HOH: 50% <= 35,625; 20% <= 38,250; 10% <= 59,250)	20%
12	Retirement savings contributions credit (to Schedule 3, line 4)	400

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	1
6	Number of other dependents	0
8	Tentative credit	2,200
10-11	Phase-out reduction (MAGI 36,463 vs 200,000)	0
12	Credit after phase-out	2,200
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	405
27	Additional child tax credit (to Form 1040 line 28)	1,700

Schedule 3

Line	Description	Amount
3	Education credits (Form 8863, line 19)	478
4	Retirement savings contributions credit (Form 8880)	400
8	Total nonrefundable credits (to Form 1040, line 20)	878

EIC Worksheet

Line	Description	Amount
kids	Qualifying children	1
earned	Earned income	36,140
agi	AGI	36,463
credit	Earned income credit (EIC Table)	2,231

Filing / mailing detail

Item	Detail
E-file	Transmitted 02/19/2026; rejected 02/20/2026 - IND-507-01 (dependent SSN XXX-XX-6604 used on another return)
Paper return	Government copy wet-signed 03/03/2026; mailed 03/04/2026 to the IRS Kansas City, MO processing center (address per 2025 Form 1040 instructions - Illinois, no payment enclosed)
Tracking	USPS Certified 9407 1118 9876 5432 1098 76
Illinois	IL-1040 state-only e-file 02/24/2026, accepted 02/25/2026

Schedule EIC

Schedule EIC - qualifying child	Detail
Name	Arjun Raman
SSN	XXX-XX-6604
Year of birth	2018
Relationship	Son
Months lived with taxpayer in U.S.	12
Student / disabled	No / No

Form 1099-K - personal items sold at a loss

Form 1099-K reconciliation (PayPal)	Amount
1099-K box 1a gross	6,812
Items sold: used personal furniture, baby gear, household goods (CSV export WP 9)	
Client's cost of items (estimates; all sold below cost)	~\$9,300+
Reported on Schedule 1 line 8z	6,812
Offset on Schedule 1 line 24z	(6,812)
Net effect on AGI	0

Form 8867 (preparer due diligence - retained, filed with return)

Form 8867 - Paid Preparer's Due Diligence Checklist (EIC, CTC/ACTC, AOTC, HOH)	Response
Credits/status claimed	EIC, CTC/ACTC, HOH (LLC is not a due-diligence credit)
Interview: residency of child > 1/2 year	Yes - ~315 nights with Priya; lease + school enrollment letter (WP 17)
Relationship / age / SSN	Son, age 7, valid SSN XXX-XX-6604
Other person may claim the child (tie-breaker / noncustodial)?	Father may claim - but Priya is the custodial parent, no Form 8332 signed, no decree -> Priya has the right to claim
HOH: paid > 1/2 cost of keeping up home; unmarried	Yes - rent \$1,640/mo, utilities, food (client email 02/12)
Documents reviewed / retained	Lease, school letter, text message transcript, custody interview notes
Knowledge requirement documented	Yes - reject IND-507 resolved by paper filing with explanation retained

State / Local Returns

Illinois Form IL-1040 (full-year resident) - summary

Line	Description	Amount
1	Federal adjusted gross income	36,463
5-7	Subtractions - Schedule M: U.S. Treasury obligation interest (TreasuryDirect 1099-INT box 3)	(310)
-	IL refund on 1099-G: not in federal AGI -> no IL subtraction needed	0
9	Illinois base income	36,153
10	Exemption allowance: 2 x \$2,850 (Priya + Arjun)	5,700
11	Net income	30,453
12	Tax at 4.95%	1,507
-	K-12 education expense credit (Sch ICR): qualified fees \$165 do not exceed \$250 floor	0
-	Property tax credit: renter - not eligible	0
Sch IL-E/EIC	Illinois earned income credit = 20% x federal EIC 2,231	446
Sch IL-E/EIC	Illinois child tax credit = 40% x IL EIC (child under 12) - see assumption	178
-	IL income tax withheld (W-2 box 17)	1,480
-	Total payments and refundable credits	2,104
-	REFUND	597

IL-1040 transmitted as a state-only (unlinked) e-file 02/24/2026 and accepted 02/25/2026. ASSUMPTION: IL child tax credit for 2025 computed at 40% of the IL EIC for a qualifying child under age 12 - verify rate against final 2025 Schedule IL-E/EIC instructions.